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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

February 20, 2017

Ms. Rachel E. Dickon
Assistant Secretary
Federal Maritime Commission
800 North Capitol Street N.W.
Washington, DC 20573-0001

Re: Petition No. P4-16

Dear Assistant Secretary Dickon:

I am writing in response to the notice filed by the FMC in the Federal Register on December 28, 2016, concerning the captioned petition for rulemaking as proposed by the Coalition for Fair Port Practices.

My name is Richard J. Roche and I am Vice President of International Transportation at Mohawk Global Logistics which is an ocean transportation intermediary (License No. 003952NF) engaged in the business of arranging for the movement of international ocean cargo for our various shipper/receiver clients. I also serve as NVOCC Sub-Committee Chairman at NCBFAA, and as such, I am familiar with demurrage and detention practices and complaints.

In recent years, there have been a number of situations where the vessel operators or marine terminal operators (MTOs) have assessed significant amounts of demurrage or detention in situations where neither we nor our customers are at fault or are able to either pickup or deliver cargo or containers from or to the ports or carriers. In particular, recurring port congestion resulting from significant weather events, port labor issues or inadequate port infrastructure have caused lengthy delays in moving the cargo and empty containers. Yet, ports and carriers have routinely assessed demurrage and/or detention charges to us and/or our customers even though the delays in moving the containers are normally beyond our control.

The existing system of arguing with the carriers or ports over the propriety of receiving demurrage or detention bills in these circumstances or, if the carrier or ports refuse to listen, in challenging the bills at the Commission, even with the assistance of the Consumer Affairs Dispute Resolution Service, is time consuming and unwieldy. For that reason, we believe that the Commission should consider adopting a policy or rule, as proposed by the Coalition, that makes it clear that it would be inappropriate for the carriers and MTOs to assess demurrage and/detention charges in situations where the delays are clearly beyond the control or fault of the OTIs and their customers.

I want to emphasize that we are not asking the Commission to add new regulations, since the Petition makes it clear that the assessment of demurrage and detention in situations where the delays are not attributable to the cargo interests, is unlawful and violates the Shipping Act. But the recent experiences - - where my company or its customers receive inappropriate and often very large invoices - - demonstrates that the Commission should make it clear to the carriers and ports that they need to act more responsibly. By doing so, the Commission would both provide a needed incentive to those parties to work harder to increase the efficiency of their operations and significantly reduce the amount of time spent or arguing or litigating about demurrage and detention bills.

I would like to cite three specific examples both past and present, large and small for your consideration:

Example 1: We work for a client who regularly moves about 12,000 FEUs through the port of New York annually. In a normal year their demurrage and detention bills at the port are either nil or negligible. In three consecutive events they were charged outrageous amounts by the MTOs in New York as follows:

- Hurricane Sandy (2012) - approximately \$ 500,000 in demurrage and detention
- Maher IT meltdown (2013) - approximately \$ 500,000 in demurrage and detention
- Winter Vortex Storms (2014) - approximately \$ 1,500,000 in demurrage and detention

Total: \$ 2.5 Million outlaid for 3 fortuitous events in 18 months

This client (who requests anonymity) was able to work out approximately 50% settlement after the fact with some of the unnamed terminals due to their large volume and recognizable brand.

Example 2: Mohawk's smaller clients were not quite as fortunate. In the same Winter Vortex Storms of 2014, we outlaid demurrage charges for fourteen of our clients totaling \$ 22,225.00 for 60 containers spanning a two week period starting at the end of February (see attached spreadsheet of charges). Our trucker had adequate power in place but was had to waste many hours each day waiting on line, or was shut out, because the MTOs could not handle the required flow. Mohawk pleaded with the terminals to extend free time, but we were rejected and forced to outlay the demurrage charges in order to pick up the containers. We then appealed to the MTOs after the fact by the attached letter (similar letter sent to all) but were unable to get a refund from any of the MTOs.

Example 3: Just today I received a declination from Yang Ming Line to have their terminal in Oakland (SSA) extend free time that we originally requested on January 12, 2016. Cargo had arrived for our import client that week at SSA, but due to unusual and severe flooding at destination (Reno / Sparks, NV) closing local streets, and heavy snow in the mountain pass, the highway (I-80) was shut down. We asked SSA to extend free time, but they declined. By the next day another seven feet of snow had fallen so we turned to Yang Ming Line for assistance. They initially granted the free time extension but later reneged because they thought it was for an export container. We outlaid the demurrage in order to deliver the container when the roads were open again on January 16, and appealed the decision to YML for weeks to follow only to receive their declination today citing that "the ocean terminal was not closed".

In reviewing the difference in how the same terminals handled Examples 1 and 2 above (for the same winter storm but different sized customers), it is clear that there are inequities within the existing system. Even in the rare circumstance where we have been granted relief by the terminals, it tends to be somewhat arbitrary and capricious. Given these are charges found in the MTOs own tariff, it is difficult to understand why the application or waiving of such charges can vary so greatly from one importer to another based on size or any other variable. The same fortuitous event impacts all of us. We all need to have the same remedy.

In Example 2 above, our trucker schedules 25 trucks each day at the terminals in New York to pick up 125 containers per week within the prescribed free time. This works well until the MTOs have an issue. If only 15 trucks get through the line on Monday and Tuesday, that leaves 20 loads that still have to get out on Wednesday and Thursday before the last free day expires in addition to the 25 containers per day that were already scheduled for those days. The trucker now has inadequate power to move 35 containers on Wednesday and Thursday, and has to push Friday containers into the weekend (assuming there will be gate hours available) to clean up the mess. Invariably some of these containers being pushed out will end up in demurrage, many times through no fault of the trucker who has the power assigned, but who cannot get all 25 each day because the terminal can't give them for whatever reason: weather, stacked vessels, labor, chassis availability, system malfunction, congestion...

These are just some of the circumstances we encounter from time to time that we hope can be addressed through this petition. When everything is working well our clients do not have to pay demurrage and detention charges because we are able to get their containers in and out on time. When something goes awry the charges kick in, whether or not the cause is within the control of our clients, but always to the benefit of the terminals. We would like to see a more equitable system or some type of due process for automatic extension or appeal when fortuitous events occur. This would help protect the end users - our importers, exporters and USA consumers - from unfairly applied charges.

We accordingly urge the Commission to initiate a proceeding to consider this important issue.

Respectfully Submitted,



Richard J Roche
Vice President of International Transportation
Mohawk Global Logistics

and

NVOCC Sub-Committee Chair
NCBFAA.

Enclosures:

1. Mohawk's winter storm demurrage spreadsheet
2. Mohawk's appeal letter to MTO's in New York

Mohawk Importer	Terminal	PRO	Container No.	Disch 2014	LFD 2014	P/U Day 2014	Demurrage Days	Demurrage Charge
AMEGRA	Maher	16358	YMLU5126398	9-Mar	13-Mar	14-Mar	1	\$195.00
CROCOR	Maher	16089	TCNU7958418	11-Feb	25-Feb	26-Feb	3	\$585.00
CROCOR	Maher	16138	SEGU1013573	21-Feb	28-Feb	1-Mar	1	\$195.00
CROCOR	Maher	16158	YMLU8255107	12-Feb	25-Feb	26-Feb	3	\$585.00
CROCOR	Maher	16156	YMLU8796412	14-Feb	25-Feb	26-Feb	3	\$585.00
CROCOR	PNCT	16354	UACU8281149	1-Mar	6-Mar	7-Mar	1	\$150.00
FOUWAR	Maher	16244	TGHU7812410	28-Feb	6-Mar	7-Mar	1	\$190.00
FOUWAR	Maher	16251	KKFU1304080	1-Mar	6-Mar	7-Mar	4	\$760.00
FOUWAR	Maher	16121	KKFU7406746	16-Feb	27-Feb	28-Feb	1	\$190.00
FOUWAR	Maher	16123	KKFU7283364	22-Feb	28-Feb	1-Mar	1	\$190.00
FOUWAR	Maher	16137	KKFU7286050	22-Feb	28-Feb	1-Mar	1	\$190.00
FOUWAR	Maher	16227	TRLU7040445	1-Mar	6-Mar	7-Mar	1	\$190.00
FOUWAR	Maher	16373	KKFU9048467	1-Mar	6-Mar	7-Mar	1	\$190.00
FOUWAR	Maher	16300	KKFU9055609	1-Mar	6-Mar	7-Mar	4	\$760.00
HOFAS	Maher	16187	KKFU1805353	27-Feb	4-Mar	5-Mar	1	\$190.00
HOFAS	Maher	16187	KKFU1805353	27-Feb	4-Mar	5-Mar	1	\$190.00
MORROS	PNCT	16088	UACU8395769	18-Feb	25-Feb	26-Feb	1	\$300.00
MORROS	PNCT	16081	UACU8387871	18-Feb	25-Feb	28-Feb	3	\$450.00
MORROS	PNCT	16159	UACU8011685	18-Feb	25-Feb	28-Feb	3	\$450.00
MORROS	PNCT	16157	UACU8179760	18-Feb	25-Feb	28-Feb	3	\$450.00
MORROS	Maher	16193	CRXU9852217	20-Feb	28-Feb	1-Mar	1	\$190.00
BALCOR	Maher	16136	GLDU9388069	24-Feb	28-Feb	1-Mar	1	\$190.00
KWI	Maher	16188	HJSU9421108	26-Feb	4-Mar	5-Mar	1	\$200.00
MON	PNCT	16253	TTNU4203658	25-Feb	3-Mar	4-Mar	4	\$540.00
MON	PNCT	16253	TTNU4203658	25-Feb	3-Mar	4-Mar	4	\$540.00
MON	PNCT	16365	MSCU7628320	3-Mar	11-Mar	12-Mar	1	\$135.00
MON	PNCT		MSCU7843810	4-Mar	11-Mar	12-Mar	1	\$135.00
BELC	PNCT	16243	MSCU8165549	24-Feb	4-Mar	7-Mar	3	\$405.00
BELC	PNCT	16245	TTNU4600378	25-Feb	4-Mar	6-Mar	2	\$270.00
BELC	PNCT	16246	GATU4429440	25-Feb	4-Mar	6-Mar	2	\$270.00
BELC	PNCT	16256	MSCU4299180	25-Feb	4-Mar	7-Mar	3	\$405.00
BELC	PNCT	16262	CLHU4370005	25-Feb	4-Mar	7-Mar	3	\$405.00
BELC	PNCT	16286	MSCU4649740	25-Feb	4-Mar	7-Mar	3	\$405.00
BELC	PNCT	16122	INBU5463558	25-Feb	4-Mar	5-Mar	1	\$135.00
BELC	PNCT	16126	MEDU4313135	21-Feb	28-Feb	3-Mar	3	\$405.00
BELC	PNCT	16127	MEDU4124126	25-Feb	3-Mar	4-Mar	1	\$135.00
BELC	PNCT	16130	CXDU1811805	25-Feb	3-Mar	4-Mar	1	\$135.00
BELC	PNCT	16133	MSCU5034294	21-Feb	28-Feb	3-Mar	3	\$405.00
BELC	PNCT	16139	MSCU8074177	25-Feb	3-Mar	4-Mar	1	\$135.00
BELC	PNCT	16181	FBLU4071324	25-Feb	4-Mar	6-Mar	2	\$270.00
BELC	PNCT	16184	MSCU4776597	25-Feb	4-Mar	5-Mar	1	\$135.00
BELC	PNCT	16186	CARU5742720	25-Feb	4-Mar	5-Mar	1	\$135.00
BELC	PNCT	16190	MSCU4894270	25-Feb	3-Mar	4-Mar	1	\$135.00
BELC	PNCT	16192	MSCU4746695	25-Feb	4-Mar	5-Mar	1	\$135.00
BELC	PNCT	16228	GATU4438782	25-Feb	4-Mar	5-Mar	1	\$270.00
QUAL	PNCT	16293	UACU8327682	1-Mar	6-Mar	7-Mar	1	\$150.00
SEN	Maher	16185	YMLU8334775	22-Feb	28-Feb	1-Mar	3	\$585.00
STO	Maher	16229	CAIU8296652	26-Feb	4-Mar	5-Mar	1	\$200.00
TRK	Global	16140	CAIU9133691			28-Feb	4	\$760.00
TRK	Global	16288	DRYU9195246			7-Mar	4	\$760.00
TRK	Global	16355	CAIU9157712			7-Mar	4	\$760.00
TRK	Global	16364	NYKU4172429			7-Mar	5	\$1,020.00
UC	Maher	16257	YMLU3168624	23-Feb	28-Feb	1-Mar	3	\$585.00
UC	Maher	16131	OCGU2964789	23-Feb	28-Feb	1-Mar	3	\$585.00
UC	Maher	16191	OCGU2064713	23-Feb	28-Feb	1-Mar	3	\$585.00
UC	Maher	16143	CAIU2890353	19-Feb	28-Feb	1-Mar	4	\$780.00
UC	Maher	16125	TLCU2253879	21-Feb	28-Feb	1-Mar	4	\$780.00
UC	Maher	16231	GLDU3050500	23-Feb	28-Feb	1-Mar	4	\$780.00
UC	Maher	16372	TCKU2293315	4-Mar	11-Mar	12-Mar	1	\$195.00
UC	Maher	16363	SEGU1688303	9-Mar	13-Mar	14-Mar	1	\$195.00

\$22,225.00

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March 31, 2014

Ms, Christine Brady
PNCT Terminal
241 Calcutta St.
Newark, NJ 07114

Re: Demurrage Invoices in Feb/Mar = \$ 7,200.00

Dear Christine,

We have seen a high concentration of demurrage invoices for our cargo transiting PNCT Terminal in late February and early March this year. Our cargo usually moves through your terminal without incident with a volume of 25-30 containers each week. We typically avoid demurrage by providing freight release and customs clearance in advance of vessel arrival. We know you have also been doing your best to deal with the congestion that came about this winter from a variety of causes:

- successive & severe winter storms
- containers frozen to the ground
- long lines outside terminal
- Port Authority police terminating lines
- unscheduled terminal closures
- chassis shortages
- labor shortages
- vessel delays
- restriction of hours

We also understand demurrage to be a punitive device used to incentivize the rapid removal of containers from your terminal, the object of which is to keep containers flowing. We do our best to live by your rules and avoid such punitive charges.

In charting the demurrage invoices that we received from PNCT terminal during the two weeks in question, we see multiple vessel arrival days pushed towards a more narrow range of last free days. It appears that the last free days from one week's vessels were pushed to same or similar last free days of the successive week's vessels. This compounded again as the next week's flow pushed into the third week. While we did our best on a daily basis to evacuate as many containers as we could (far more than those we received charges on), we were restricted by your operational challenges to collect all of our containers in time.

Our house trucker logged countless man-hours waiting in line trying to retrieve these containers. Force Majeure events compounded with the other issues mentioned resulted in your terminal's inability to process the flow and this translated into unprecedented demurrage charges for us. Being Force Majeure, it was out of your control, and out of ours. Our trucks were there, waiting to get our containers every day, and could not complete their mission, or were turned away for all the reasons given.

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The Journal of Commerce wrote last week about productivity at PANYNJ terminals being back up to 60,000 gate moves per week. They cited a low of 36,400 moves at the height of the problems, coming back to 51,763 during the recovery period, and now back to full speed. Surely with this kind of throughput at 60% of regular flow, there is a strong argument to be made that more free time should have been allowed resulting in less demurrage being invoiced.

We understand that your productivity and profit was impacted as a result of all these issues, and that progress is being made on some of those issues within your control. We also believe that demurrage should not be a windfall profit center when Force Majeure events are to blame.

We are therefore making our appeal to you directly even though we are not your direct client (as the steamship lines and truckers are), nor are we appealing to your regulatory body by way of any formal complaint.

We simply ask under such circumstances that you consider a refund of the excessive demurrage charges we paid during this 2-week period. Surely demurrage was not intended to be paid when all parties doing all they could to get the cargo out of the terminal, could not perform. The delays alone have a dramatic effect on commerce. The demurrage penalties add an additional layer of pain for our clients, we feel unfairly, given the circumstances that caused them.

I am attaching our spreadsheet summary of the invoices we are challenging for this period along with copies of the invoice packet for each (lengthy scan). We can only ask for your attention and consideration in addressing these extra charges and hope for an amicable resolution.

Sincerely,



Richard J. Roche

VP of International Transportation